

Cash Flow Check

Pipeline worked example

COURSE	AI Workshop 2.0, Desktop Edition
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YOU NEED	A Mac or PC and a paid Claude plan

Pipeline worked example

Pipeline Step: 9 of 10 **Category:** Home & Kitchen **Sub-niche:** Bamboo Drawer Organizers

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Summary

Total capital required for this launch is estimated at \$12,800-15,200 (recommended scenario). With the user's stated budget of \$8,000, this represents a significant shortfall. Options include: reducing initial inventory to minimum MOQ, seeking additional capital, or pivoting to a lower-cost entry strategy.

Capital Requirements

Pre-Launch Costs

EXPENSE	AMOUNT	TIMING	REQUIRED?
Product samples (5 suppliers)	\$350	Month 1	Yes
Sample shipping (air)	\$150	Month 1	Yes
Product photography	\$500	Month 2	Yes
Listing creation/copywriting	\$300	Month 2	Optional
Brand registry/trademark	\$350	Month 1-2	Recommended
UPC/barcode	\$30	Month 2	Yes
Pre-Launch Subtotal	\$1,680		

Inventory Investment

SCENARIO	UNITS	UNIT COST	TOTAL
Minimum (MOQ only)	500	\$12.47	\$6,235
Recommended (2-3 mo supply)	800	\$12.47	\$9,976

Capital Requirements (continued)

SCENARIO	UNITS	UNIT COST	TOTAL
Aggressive (4+ mo supply)	1,200	\$12.47	\$14,964

Recommended inventory investment: \$9,976 for 800 units

Note: 800 units provides 2-3 months of inventory at projected sales rate (300-400 units/month initial).

Launch & Marketing Costs

EXPENSE	AMOUNT	TIMING	REQUIRED?
PPC budget (30 days)	\$1,500	Launch	Yes
PPC budget (60 days)	\$1,500	Month 2	Yes
Product giveaways/discounts	\$300	Launch	Optional
Vine reviews	\$200	Launch	Recommended
Marketing Subtotal	\$3,500		

Total Capital Required

PHASE	LOW ESTIMATE	RECOMMENDED	AGGRESSIVE
Pre-Launch	\$1,530	\$1,680	\$1,680
Inventory	\$6,235	\$9,976	\$14,964
Marketing	\$2,500	\$3,500	\$5,000
Buffer (20%)	\$2,053	\$3,031	\$4,329
TOTAL	\$12,318	\$18,187	\$25,973

User Budget Comparison

Your stated budget: \$8,000

SCENARIO	REQUIRED	YOUR BUDGET	DIFFERENCE	VERDICT
Minimum	\$12,318	\$8,000	-\$4,318	CRITICAL
Recommended	\$18,187	\$8,000	-\$10,187	CRITICAL
Aggressive	\$25,973	\$8,000	-\$17,973	CRITICAL

Assessment: Budget is insufficient for the recommended launch. Significant gap exists even for minimum scenario.

Cash Flow Timeline

Month-by-Month Projection

MONTH	CASH OUT	CASH IN	NET	RUNNING TOTAL
Month 1 (Samples)	\$500	\$0	-\$500	-\$500
Month 2 (Order Inventory)	\$7,500	\$0	-\$7,500	-\$8,000
Month 3 (Wait for shipping)	\$500	\$0	-\$500	-\$8,500
Month 4 (Launch + PPC)	\$2,500	\$2,000	-\$500	-\$9,000
Month 5 (Ramp Up)	\$1,800	\$4,500	+\$2,700	-\$6,300
Month 6 (Stabilizing)	\$1,500	\$6,000	+\$4,500	-\$1,800
Month 7 (Growing)	\$2,000	\$7,500	+\$5,500	+\$3,700

Break-even month (estimated): Month 7 **Time to profitability:** 7 months from start

Risk Assessment

Can You Afford This?

QUESTION	ANSWER	RISK LEVEL
Can you afford the MOQ?	NO (need \$6,235, have \$8,000 but need PPC too)	HIGH
Can you afford 60 days PPC?	NO (only \$1,765 remaining after MOQ)	HIGH
Do you have 20% buffer?	NO (no buffer at current budget)	HIGH
Can you afford reorder if needed?	NO (will be cash-negative until Month 7)	HIGH

What If Scenarios

SCENARIO	IMPACT	YOUR SITUATION
Inventory sells slower than expected	Need more PPC, longer cash tie-up	PROBLEM - no buffer
First batch has quality issues	Need to reorder, potential returns	PROBLEM - can't afford
PPC costs higher than expected	Need 2x budget	PROBLEM - no flexibility
Amazon loses inventory	Insurance claim, reorder needed	PROBLEM - can't cover

PPC Budget Deep Dive

Estimated PPC Costs

METRIC	CONSERVATIVE	EXPECTED	AGGRESSIVE
Daily budget	\$35	\$50	\$75
CPC estimate	\$0.95	\$1.10	\$1.25
Clicks/day	37	45	60
Conversion rate	12%	15%	18%
ACoS target	35%	28%	25%
Monthly PPC spend	\$1,050	\$1,500	\$2,250

PPC as % of revenue: 25-35% during launch (Target: under 20% at maturity)

Launch Phase PPC (First 60 Days)

WEEK	DAILY BUDGET	PURPOSE
1-2	\$35	Discovery, keyword testing
3-4	\$50	Optimization, scaling winners
5-6	\$65	Full launch push
7-8	\$50	Maintenance, efficiency focus

60-day PPC total: \$3,000-3,500

Options for Budget Shortfall

Option A: Reduce Inventory (Minimum Viable Launch)

Revised plan:

- Order MOQ only (500 units): \$6,235
- Reduce PPC to \$1,200/month: \$2,400
- Minimal pre-launch: \$1,200
- **Total: \$9,835**

Still \$1,835 over budget. Need additional capital or cost cuts.

Option B: Find Additional Capital

Capital needed: \$4,000-10,000 additional **Sources:**

- Personal savings
- Small business loan
- Credit (not recommended for inventory)
- Partner/investor

Options for Budget Shortfall (continued)

Option C: Pivot to Lower-Cost Entry

Alternative strategies:

- Start with wholesale/arbitrage to build capital
- Choose a lower-cost product first
- Delay launch 3-6 months to save more

Option D: Domestic Supplier (Lower MOQ)

Trade-off:

- Domestic MOQ: 100-250 units
- Domestic cost: \$19.13/unit
- Total for 200 units: \$3,826
- BUT: Negative margin at \$29.99 price point

Verdict: Not viable - can't compete on price with domestic sourcing.

Recommendations

Budget is Insufficient - Do NOT Proceed As Planned

The gap between required capital (12,318 *minimum*) and available budget (8,000) is too significant to ignore.

Recommended Path Forward:

1. **Save additional capital** - Target \$5,000 more before launching
2. **OR reduce scope:**
 - 500 unit MOQ only
 - \$1,000/month PPC (slower launch)
 - Accept slower growth trajectory
 - Total: ~\$10,000 required
3. **Timeline adjustment:**
 - Delay launch 2-3 months
 - Build capital buffer
 - Launch with confidence

User Checkpoint

Based on this cash flow analysis, does this fit your budget?

- Yes, I can comfortably afford this
- Yes, but it will be tight
- No, I need to save more first
- No, I need to find a different product

Implications

The bamboo drawer organizer opportunity is REAL, but current capital is insufficient for a competitive launch. Underfunding a launch leads to:

- Insufficient inventory (stockouts kill momentum)
- Inadequate PPC (can't compete for visibility)
- No buffer for problems (one mistake = failure)

Recommendation: Delay launch until capital reaches \$12,000 minimum, ideally \$15,000.

Links

- Previous: [Landed Costs](#)
- Next: [Customer Objections](#)
- Summary: [Highlight Summary](#)

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